

**CITY OF TEMECULA
AGENDA REPORT**

TO: City Manager/City Council

FROM: Jennifer Hennessy, Director of Finance

DATE: November 12, 2024

SUBJECT: Receive and File Assembly Bill (AB) 1600 Financial Reports – Fiscal Year 2023-24 Development Impact Fee Expenditures

PREPARED BY: Paula Majors, Fiscal Services Manager

RECOMMENDATION: That the City Council receive and file Assembly Bill (AB) 1600 Financial Reports – Development Impact Fee Expenditures

BACKGROUND: Government Code Sections 66006 requires that an accounting of the Development Impact Fees be made public, and the information reviewed in a regularly scheduled public hearing. The Legislature finds and declares that the timely and proper allocation of development fees promotes economic growth and is, therefore, a matter of statewide interest and concern.

Annually, the City Finance Department staff compiles a report of expenditures made with the Development Impact Fees collected and interest accrued during the year. Staff has compiled the AB 1600 Report for this purpose and recommends acceptance and approval of the report of expenditures made with the Development Impact Fees after hearing public testimony.

FISCAL IMPACT: Monies must be used within five years for specified purposes or returned to the developer. All funds are programmed to be spent in accordance with the Fiscal Years 2025-2029 Capital Improvement Program adopted May 28, 2024, by the City Council.

ATTACHMENTS:

1. Summary of Development Impact Fees
2. AB 1600 Financial Reports

City of Temecula
Summary of Development Impact Fees
Fiscal Year 2023-24

Development Impact Fee	Beginning Fund Balance	Fees Collected	Interest Earned	FY23-24 Expenditures	Ending Fund Balance	Capital Improvement Projects	FY23-24 Expenditures	% Complete	% Funded with DIFs
Open Space Land Acquisition	\$962,782	\$31,739	\$37,652	\$0	\$1,032,174	CD18-01/ 703 - Bike Lane and Trail Program	\$0	18.8%	3.3%
						PWNT-25/ 785 - Nicolas Road Multi-Use Trail	\$0	0.0%	20.0%
						Trails	\$0	4.6%	6.2%
						PW08-04/ 739 Santa Gertrudis Creek Pedestrian/Bicycle Trail Extension	\$0	98.1%	5.3%
Street Improvements	\$2,995,724	\$1,881,466	\$195,462	\$671,061	\$5,743,714	PW23-02/ 534 - Ynez Road Improvements - Ph I	0	11.7%	1.3%
						PW17-17/ 535 - Ynez Road Improvements - Ph II	\$0	7.2%	7.2%
						PWMP-09/ 622 - Medians & Parkways	\$0	74.5%	100.0%
						PW16-05/ 648 - Murrieta Creek Bridge at Overland*	(\$829,427)	6.7%	20.9%
						PW20-11/ 783 - Overland Drive Widening	\$102,817	12.4%	100.0%
						PW23-04/ 791 - Rancho California Road Medians	\$21,823	1.3%	64.0%
						PW23-01/ 797 - De Portola Rd/Jedediah Smith Rd Roundabout	\$33,726	3.0%	44.8%
Traffic Signals & Traffic Control Systems	\$0	\$274,086	\$10,293	(\$21,957)	\$262,422	PWTE-19/ 680 - Traffic Signal Equipment Enh.	\$21,957	41.8%	15.4%
						PWTS-06/ 682 - Traffic Signal Installation	\$0	64.5%	59.2%
						PW23-13 - Traffic Signal- Safety Lights and Signal Communications Upgrade- Citywide	\$0	2.8%	18.3%
Park & Recreation Improvements	\$2,421,245	\$957,727	\$127,142	\$0	\$3,506,115	PW17-21/ 692 - Margarita Rec Center	\$0	96.5%	4.8%
						PW19-07/ 730 - CRC Renovations	\$0	41.0%	14.7%
						PW21-03/ 787 - Pickleball Courts	\$0	24.2%	40.7%
						PW22-05/ 793 - Bike Lane & Trail - RRSP Trails	\$0	4.6%	44.3%
						PW20-15/ 204 - Urban Forest Management Plan	\$0	92.1%	13.9%
Corporate Facilities	\$221,673	\$254,984	\$19,136	(\$31,594)	\$464,198	PW17-01/ 711 - City Security Camera System	\$0	82.1%	16.7%
						IT20-01/ 780 - Old Town Security Camera & Sound System	\$31,594	88.8%	47.6%
Fire Protection Facilities	\$81,110	\$57,115	\$9,069	(\$102,210)	\$45,084	PW19-13/ 697 - Fire Station 73 Gym/Garage	\$102,210	16.2%	4.9%
						PW19-14/ 687 - Fire Station 84 Renovation	\$0	19.9%	21.5%
Library	\$1,714,182	\$237,139	\$73,755	\$0	\$2,025,077	IT24-02 - Library Alternate Emergency Operations Center Enhancements	\$0	0.0%	100.0%
						Library Technology Enhancements	\$0	0.0%	100.0%
Police Facilities	\$8,065	\$216,136	\$8,364	\$0	\$232,565	PW17-21/ 692 - Margarita Rec Center	\$0	96.5%	1.1%
						PW17-01/ 711 - City Security Camera System	\$0	82.1%	25.0%
Total	\$8,404,782	\$3,910,393	\$480,873	\$515,300	\$13,311,348		(\$515,300)		

City of Temecula

OPEN SPACE LAND ACQUISITIONS

Government Code 66000 Calculation

Fiscal Year 2023-24

The impact fees for Open Space Land Acquisitions are based on the cost of land needed to maintain the City's existing ratio of open space acreage to population. Because these fees are population driven, they apply only to residential development. The fee is \$973.29 per residential attached unit (condominium, apartment, townhouse, and duplex), and \$1,358.50 per residential detached unit (single family), payable at the time of issuance of a building permit. The fees are adjusted annually based on the percentage increase or decrease, if any, of the Engineering News Record Building Cost Index.

Account Description	Beginning Fund Balance	Fiscal Year 2023-24	Ending Fund Balance
<u>Revenues & Other Sources:</u>			
Developer Fees		\$31,739	
Interest Income		\$37,652	
Total Sources		\$69,391	
<u>Expenditures & Other Uses:</u>			
Capital Projects			
Total Uses			
Total Available	\$962,782	\$69,391	\$1,032,174

Five Year Revenue Test

Using First In First Out Method

Unspent Funds Represent Ending Fund Balance	June 30, 2024
Revenues Remaining from FY2019-20	
Revenues Remaining from FY2020-21	
Revenues Remaining from FY2021-22	\$94,551
Revenues Remaining from FY2022-23	\$868,232
Revenues Remaining from FY2023-24	\$69,391
Total Ending Fund Balance	\$1,032,174

Five year test met in accordance with Government Code 66001

Capital Improvement Facilities Expenditures

Capital Improvement Projects	Total Project Budget	FY23-24 DIF Expenditure	% of Project Complete	% Funded With DIF
CD18-01/ 703 - Bike Lane and Trail Program	\$2,209,748		18.83%	3.27%
PWNT-25/ 785 - Nicolas Road Multi-Use Trail Ext.	\$1,500,000		0.0%	20.00%
PW22-05/ 793 - Bike Lane and Trail RRSP Trails	\$2,100,000		4.61%	6.15%
PW08-04/ 739 Santa Gertrudis Creek Pedestrian/Bicycle Trail Extension	\$7,333,595		98.06%	5.31%
Total				

City of Temecula

STREET IMPROVEMENTS

Government Code 66000 Calculation
Fiscal Year 2023-24

The fees are collected based on the total cost of such improvements and number of peak hour vehicle trips generated by future development. The fee is \$1,976.81 per residential attached unit (condominium, apartment, townhouse, and duplex), \$2,823.97 per residential detached unit (single family), and \$3.85 - \$10.79 per square foot of floor area for commercial development, payable at the time of issuance of a building permit. The fees are adjusted annually based on the percentage increase or decrease, if any, of the Engineering News Record Building Cost Index.

Account Description	Beginning Fund Balance	Fiscal Year 2023-24	Ending Fund Balance
<u>Revenues & Other Sources:</u>			
Developer Fees		\$1,881,466	
Interest Income		\$195,462	
Total Sources		\$2,076,929	
<u>Expenditures & Other Uses:</u>			
Capital Projects		(\$671,061)	
Total Uses		(\$671,061)	
Total Available	\$2,995,724	\$2,747,990	\$5,743,714

Five Year Revenue Test

Using First In First Out Method

Unspent Funds Represent Ending Fund Balance	June 30, 2024
Revenues Remaining from FY2019-20	
Revenues Remaining from FY2020-21	\$493,046
Revenues Remaining from FY2021-22	\$728,726
Revenues Remaining from FY2022-23	\$1,603,379
Revenues Remaining from FY2023-24	\$2,918,563
Total Ending Fund Balance	\$5,743,714

Five year test met in accordance with Government Code 66001

Capital Improvement Facilities Expenditures

Capital Improvement Projects	Total Project Budget	FY23-24 DIF Expenditure	% of Project Complete	% Funded With DIF	Est. Start of Construction
PW23-02/ 534 - Ynez Road Improvements - Ph I	\$2,950,000		11.69%	1.33%	7/1/2024
PW17-17/ 535 - Ynez Road Improvements - Ph II	\$4,806,343		7.22%	7.22%	7/1/2027
PWMP-09/ 622 - Medians & Parkways	\$894,838		74.52%	100.00%	**
PW16-05/ 648 - Murrieta Creek Bridge at Overland*	\$26,015,920	(\$829,427)	6.73%	20.87%	7/1/2026
PW20-11/ 783 - Overland Drive Widening	\$4,471,436	\$102,817	12.41%	100.00%	7/1/2026
PW23-04/ 791 - Rancho California Road Medians	\$3,845,018	\$21,823	1.27%	64.02%	7/1/2026
PW23-01/ 797 - De Portola Rd/Jedediah Smith Rd Roundabout	\$1,450,000	\$33,726	2.99%	44.83%	7/1/2024
Total		(\$671,061)			

* PW16-05/648 - Murrieta Creek Bridge at Overland credit balance due to HBP Grant funding approval.

** PWMP-09/622 - Medians & Parkways project is a reimbursement to developers for eligible improvements upon project completion.

City of Temecula

TRAFFIC SIGNALS AND TRAFFIC CONTROL SYSTEMS

Government Code 66000 Calculation

Fiscal Year 2023-24

The fees are collected based on the total cost of such improvements and number of peak hour vehicle trips generated by future development. The fee is \$279.80 per residential attached unit (condominium, apartment, townhouse, and duplex), and \$399.75 per residential detached unit (single family), and \$0.57-\$1.53 per square foot of floor area from commercial development, payable at the time of issuance of a building permit. The fees are adjusted annually based on the percentage increase or decrease, if any, of the Engineering News Record Building Cost Index.

Account Description	Beginning Fund Balance	Fiscal Year 2023-24	Ending Fund Balance
<u>Revenues & Other Sources:</u>			
Developer Fees		\$274,086	
Interest Income		\$10,293	
Total Sources		\$284,379	
<u>Expenditures & Other Uses:</u>			
Capital Projects		\$21,957	
Total Uses		\$21,957	
Total Available		\$262,422	\$262,422

Five Year Revenue Test

Using First In First Out Method

Unspent Funds Represent Ending Fund Balance	June 30, 2024
Revenues Remaining from FY2019-20	
Revenues Remaining from FY2020-21	
Revenues Remaining from FY2021-22	
Revenues Remaining from FY2022-23	
Revenues Remaining from FY2023-24	\$262,422
Total Ending Fund Balance	\$262,422

Five year test met in accordance with Government Code 66001

Capital Improvement Facilities Expenditures

Capital Improvement Projects	Total Project Budget	FY23-24 DIF Expenditure	% of Project Complete	% Funded With DIF	Est. Start of Construction
PWTE-19/ 680 - Traffic Signal Equipment Enh.	\$3,526,788	\$21,957	41.82%	15.36%	7/1/2019
PWTS-06/ 682 - Traffic Signal Installation	\$2,967,683		64.51%	59.23%	*
PW23-13 - Traffic Signal- Safety Lights and Signal Communications Upgrade- Citywide	\$3,255,900		2.76%	18.26%	7/1/2024
Total		\$21,957			

** PWTS-06/682 - Traffic Signal Installation project is a reimbursement to developers for eligible improvements upon project completion.*

City of Temecula

PARK and RECREATION IMPROVEMENTS

Government Code 66000 Calculation

Fiscal Year 2023-24

The fees are collected for park improvements based on the cost of improvements needed to maintain the City's existing ratio of improved park acreage to population. The fee for recreation facilities is based on the existing ratio of facility replacement cost to population. Because the fees are population driven, it only applies to residential developments. The fee is \$3,339.07 per residential attached unit (condominium, apartment, townhouse, and duplex), and \$4,660.79 per residential detached unit (single family), payable at the time of issuance of a building permit. The fees are adjusted annually based on the percentage increase or decrease, if any, of the Engineering News Record Building Cost Index.

Account Description	Beginning Fund Balance	Fiscal Year 2023-24	Ending Fund Balance
<u>Revenues & Other Sources:</u>			
Developer Fees		\$957,727	
Interest Income		\$127,142	
Total Sources		\$1,084,870	
<u>Expenditures & Other Uses:</u>			
Capital Projects			
Total Uses			
Total Available	\$2,421,245	\$1,084,870	\$3,506,115

Five Year Revenue Test

Using First In First Out Method

Unspent Funds Represent Ending Fund Balance	June 30, 2024
Revenues Remaining from FY2019-20	
Revenues Remaining from FY2020-21	\$928,768
Revenues Remaining from FY2021-22	\$428,442
Revenues Remaining from FY2022-23	\$1,064,035
Revenues Remaining from FY2023-24	\$1,084,870
Total Ending Fund Balance	\$3,506,115

Five year test met in accordance with Government Code 66001

Capital Improvement Facilities Expenditures

Capital Improvement Projects	Total Project Budget	FY23-24 DIF Expenditure	% of Project Complete	% Funded With DIF
PW17-21/ 692 - Margarita Rec Center	\$12,601,508		96.49%	4.76%
PW19-07/ 730 - CRC Renovations	\$13,107,069		41.04%	14.66%
PW21-03/ 787 - Pickleball Courts	\$3,561,878		24.15%	40.71%
PW22-05/ 793 - Bike Lane & Trail - RRSP Trails	\$2,100,000		4.61%	44.33%
PW20-15/ 204 - Urban Forest Management Plan	\$376,230		92.07%	13.90%
Total				

City of Temecula

CORPORATE FACILITIES

Government Code 66000 Calculation

Fiscal Year 2023-24

Fees are collected for City administrative and maintenance facilities. The need for future space at the Civic Center is due to the demand of services housed at the Civic Center. The need for maintenance facilities is due to an increase in street and park maintenance. The fee is \$410.79 per residential attached unit (condominium, apartment, townhouse, and duplex), \$766.16 per residential detached unit (single family), and \$0.25 - \$0.75 per square foot of floor area for commercial developments, payable at the time of issuance of a building permit. The fees are adjusted annually based on the percentage increase or decrease, if any, of the Engineering News Record Building Cost Index.

Account Description	Beginning Fund Balance	Fiscal Year 2023-24	Ending Fund Balance
<u>Revenues & Other Sources:</u>			
Developer Fees		\$254,984	
Interest Income		\$19,136	
Total Sources		\$274,119	
<u>Expenditures & Other Uses:</u>			
Capital Projects		\$31,594	
Total Uses		\$31,594	
Total Available	\$221,673	\$242,525	\$464,198

Five Year Revenue Test

Using First In First Out Method

Unspent Funds Represent Ending Fund Balance	June 30, 2024
Revenues Remaining from FY2019-20	
Revenues Remaining from FY2020-21	
Revenues Remaining from FY2021-22	
Revenues Remaining from FY2022-23	\$190,079
Revenues Remaining from FY2023-24	\$274,119
Total Ending Fund Balance	\$464,198

Five year test met in accordance with Government Code 66001

Capital Improvement Facilities Expenditures

Capital Improvement Projects	Total Project Budget	FY23-24 DIF Expenditure	% of Project Complete	% Funded With DIF
PW17-01/ 711 - City Security Camera System	\$4,491,785		82.08%	16.74%
IT20-01/ 780 - Old Town Security Camera & Sound	\$1,260,000	\$31,594	88.81%	47.62%
Total		\$31,594		

City of Temecula
FIRE PROTECTION FACILITIES
Government Code 66000 Calculation
Fiscal Year 2023-24

Fees are collected to provide future fire protection facilities and apparatus. The fee is \$449.75 per residential attached unit (condominium, apartment, townhouse, and duplex), \$969.25 per residential detached unit (single family), and \$0.16 - \$0.25 per square foot of floor area for commercial developments, payable at the time of issuance of building permit. The fee is adjusted annually based on the percentage increase or decrease, if any, of the Engineering News Record Building Cost Index.

Account Description	Beginning Fund Balance	Fiscal Year 2023-24	Ending Fund Balance
<u>Revenues & Other Sources:</u>			
Developer Fees		\$57,115	
Interest Income		\$9,069	
Total Sources		\$66,184	
<u>Expenditures & Other Uses:</u>			
Capital Projects		\$102,210	
Total Uses		\$102,210	
Total Available	\$81,110	(\$36,026)	\$45,084

Five Year Revenue Test

Using First In First Out Method

Unspent Funds Represent Ending Fund Balance	June 30, 2024
Revenues Remaining from FY2019-20	
Revenues Remaining from FY2020-21	
Revenues Remaining from FY2021-22	
Revenues Remaining from FY2022-23	
Revenues Remaining from FY2023-24	\$45,084
Total Ending Fund Balance	\$45,084

Five year test met in accordance with Government Code 66001

Capital Improvement Facilities Expenditures

Capital Improvement Projects	Total Project Budget	FY23-24 DIF Expenditure	% of Project Complete	% Funded With DIF
PW19-13/ 697 - Fire Station 73 Gym/Garage	\$3,477,515	\$102,210	16.19%	4.92%
PW19-14/ 687 - Fire Station 84 Renovation	\$2,089,276		19.86%	21.45%
Total		\$102,210		

City of Temecula

LIBRARY

Government Code 66000 Calculation
Fiscal Year 2023-24

Fees are collected to provide future facilities and materials. Because these fees are population-driven, they apply only to residential development. The fee is \$889.36 per residential attached unit (condominium, apartment, townhouse, and duplex), and \$1,241.39 per residential detached unit (single family), payable at the time of issuance of building permit. The fee is adjusted annually based on the percentage increase or decrease, if any, of the Engineering News Record Building Cost Index.

Account Description	Beginning Fund Balance	Fiscal Year 2023-24	Ending Fund Balance
<u>Revenues & Other Sources:</u>			
Developer Fees		\$237,139	
Interest Income		\$73,755	
Total Sources		\$310,894	
<u>Expenditures & Other Uses:</u>			
Capital Projects			
Total Uses			
Total Available	\$1,714,182	\$310,894	\$2,025,077

Five Year Revenue Test

Using First In First Out Method

Unspent Funds Represent Ending Fund Balance	June 30, 2024
Revenues Remaining from FY2019-20	
Revenues Remaining from FY2020-21	\$124,213
Revenues Remaining from FY2021-22	\$469,649
Revenues Remaining from FY2022-23	\$1,120,320
Revenues Remaining from FY2023-24	\$310,895
Total Ending Fund Balance	\$1,714,182

Five year test met in accordance with Government Code 66001

Capital Improvement Facilities Expenditures

Capital Improvement Projects	Total Project Budget	FY23-24 DIF Expenditure	% of Project Complete	% Funded With DIF
IT24-02 - Library Alternate Emergency Operations Center Enhancements	\$700,000			100.00%
Library Technology Enhancements	\$240,000			100.00%
Total				

City of Temecula

POLICE FACILITIES

Government Code 66000 Calculation

Fiscal Year 2023-24

Fees are collected to provide future space for police facilities and equipment. The fee is \$722.01 per residential attached unit (condominium, apartment, townhouse, and duplex), \$408.10 per residential detached unit (single family), and \$0.08 - \$0.40 per square foot of floor area for commercial development, payable at the time of issuance of a building permit. The fee is adjusted annually based on the percentage increase or decrease, if any, of the Engineering News Record Building Cost Index.

Account Description	Beginning Fund Balance	Fiscal Year 2023-24	Ending Fund Balance
<u>Revenues & Other Sources:</u>			
Developer Fees		\$216,136	
Interest Income		\$8,364	
Total Sources		\$224,499	
<u>Expenditures & Other Uses:</u>			
Capital Projects			
Total Uses			
Total Available	\$8,065	\$224,499	\$232,565

Five Year Revenue Test

Using First In First Out Method

Unspent Funds Represent Ending Fund Balance	June 30, 2024
Revenues Remaining from FY2019-20	
Revenues Remaining from FY2020-21	
Revenues Remaining from FY2021-22	
Revenues Remaining from FY2022-23	\$8,065
Revenues Remaining from FY2023-24	\$224,500
Total Ending Fund Balance	\$232,565

Five year test met in accordance with Government Code 66001

Capital Improvement Facilities Expenditures

Capital Improvement Projects	Total Project Budget	FY23-24 DIF Expenditure	% of Project Complete	% Funded With DIF
PW17-21/ 692 - Margarita Rec Center	\$12,601,508		96.49%	1.09%
PW17-01/ 711 - City Security Camera System	\$4,491,785		82.08%	24.96%
Total				